financially weaker sections and second to replace non-institutional sources of credit to this sector to the extent, possible.

MERCHANT BANKING

The SBI became the first bank in the public sector to enter the field of merchant banking when its merchant banking division was set up at the central office in August 1972 (and which became operational in November). This too owed its birth to the vision of Talwar who realized that with the acceleration of industrialization, the demand for finance as well as for specialized services would grow. This need had also been expressed by the Banking Commission constituted by the Government of India in 1969. Commercial banks had kept away from merchant banking till the late 1960s and the SBI was prohibited under the SBI Act from undertaking underwriting activities. In any case, it was far too busy with traditional commercial banking activities and development banking priorities.

In March 1972, the UTI Chairman R.S. Bhatt suggested to Talwar that Indian banks should set up merchant banking services because they knew their clients and the financial institutions and hence could offer underwriting facilities. They also knew the capital market and could manage issues of capital of existing and new enterprises. Besides, they could offer services of corporate counseling, portfolio management, mergers and amalgamations, and offer assistance in preparing project reports. Talwar always ready to innovate and never hesitant to face a challenge quickly agreed. He told Bhatt: 'I know merchants and I know banking but I do not know merchant banking.[35] Bhatt became adviser to the SBI on merchant banking after he retired in May 1972.

The proposal to set up a merchant banking division was placed before the Central Board on July 21, 1972. The Board gave its approval and it was decided to take up only those merchant banking services which were of immediate relevance to the country's needs such as rendering financial advice, portfolio investment advice, syndication of loans advanced, and assisting small-scale units.[36] Since the SBI Act did not permit underwriting of shares, pending amendment of the Act, it was suggested that the government authorize underwriting and holding of shares under Section 33 (xxi) of the Act which permitted the bank to undertake business not